

Edexcel (A) AS Economics — Practice

Paper 2: The UK Economy — Performance and Policies

Difficulty: Hard

Time allowed: 1 hour 30 minutes

Total marks: 80

Instructions

- Use black ink or ball-point pen.
- There are two sections in this question paper.
- Answer all questions in Section A.
- In Section B, answer all of questions 6(a) to 6(e) and one question from 6(f) or 6(g).
- Answer the questions in the spaces provided.

Information

- The total mark for this paper is 80.
- The marks for each question are shown in brackets — use this as a guide as to how much time to spend on each question.
- Calculators may be used.

SECTION A

Answer ALL questions. You are advised to spend 25 minutes on this section.

Use the data to support your answers where relevant.

1 The UK Human Development Index (HDI) value increased from 0.882 in 2000 to 0.929 in 2021, while real GDP per capita grew by approximately 18% over the same period.

(Source: adapted from UNDP Human Development Report)

(a) Which **one** of the following is **not** a component of the HDI? **(1)**

- A Life expectancy at birth
- B Mean years of schooling
- C Gross national income per capita
- D Income inequality (Gini coefficient)

(b) Explain **one** limitation of using real GDP per capita alone as a measure of economic development. **(3)**

(Total for Question 1 = 4 marks)

2 In 2022 UK CPI inflation peaked at 11.1% in October, while the unemployment rate was approximately 3.7%, near a 50-year low.

(Source: adapted from Office for National Statistics)

(a) Define the term '**cost-push inflation**'. **(1)**

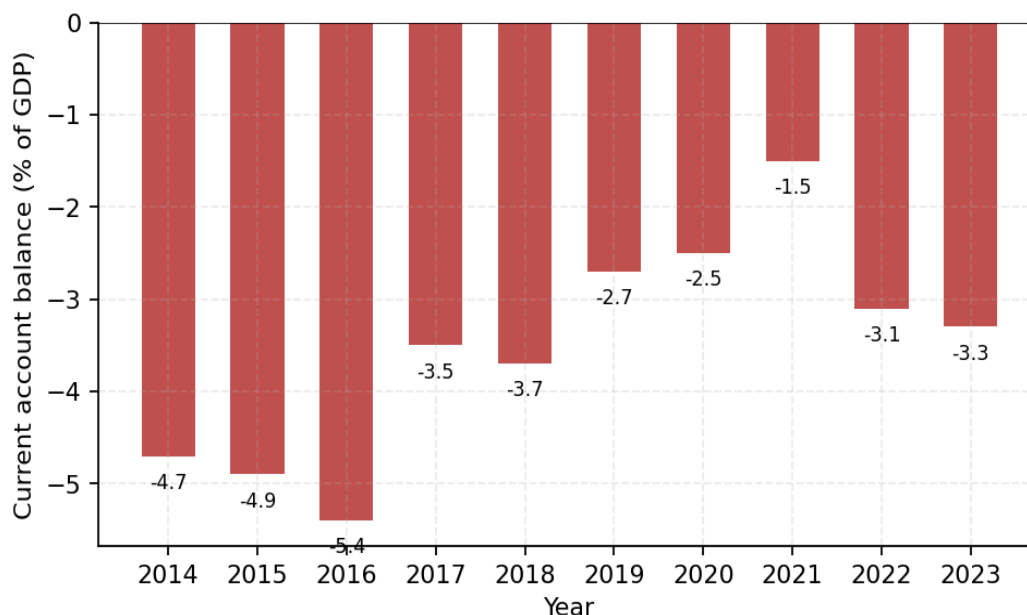
(b) Explain **one** reason why the relationship between inflation and unemployment shown by the short-run Phillips curve might break down. **(2)**

(c) Which **one** of the following best describes **stagflation**? **(1)**

- A Falling output combined with falling prices
- B Rising output combined with falling unemployment
- C Falling or stagnant output combined with rising prices
- D Rising prices caused only by excessive aggregate demand

(Total for Question 2 = 4 marks)

3 The chart below shows the UK current account balance as a percentage of GDP, 2014 to 2023.



(Source: adapted from Office for National Statistics)

(a) Which **one** of the following can be inferred from the chart? (1)

- A The UK ran a current account surplus in every year shown
- B The UK current account position improved most sharply in 2017
- C The UK current account deficit was at its largest in 2016
- D The UK current account is independent of trade flows

(b) With reference to the chart, explain **one** likely consequence for the UK economy of a persistent current account deficit. (3)

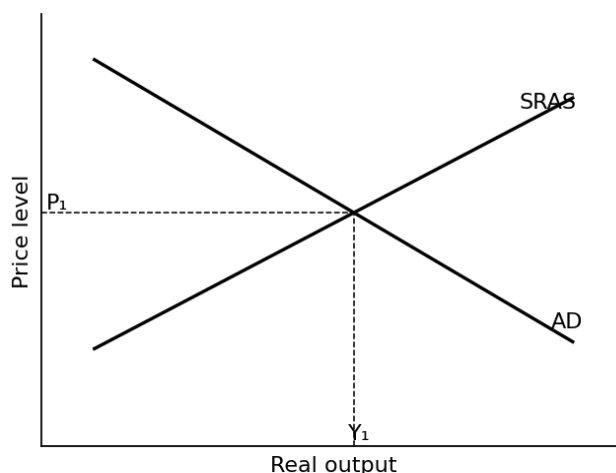
(Total for Question 3 = 4 marks)

4 In 2022 the UK Gini coefficient for disposable household income was approximately 0.355, higher than the OECD average of 0.315.

(Source: adapted from OECD Income Distribution Database)

(a) Define the term '**Gini coefficient**'. (1)

(b) Annotate the AD/SRAS diagram below to show the likely impact on real output and the price level of an increase in progressive income taxes designed to reduce inequality. (2)



(c) Which **one** of the following policies is most likely to **reduce** income inequality while also raising long-run productive capacity? (1)

- A A cut in the highest marginal rate of income tax
- B A reduction in spending on adult skills and re-training programmes
- C Increased public investment in education and vocational training
- D A regressive increase in indirect taxes on essentials such as energy

(Total for Question 4 = 4 marks)

5 The table below shows UK public sector net debt (excluding public sector banks) as a percentage of GDP, 2019/20 to 2023/24.

Financial year	Public sector net debt (% of GDP)
2019/20	83.5
2020/21	94.1
2021/22	94.5
2022/23	96.6
2023/24	97.6

(Source: adapted from Office for Budget Responsibility)

(a) Define the term '**public sector net debt**'. **(1)**

(b) Using the table, calculate the percentage point increase in UK public sector net debt as a share of GDP between 2019/20 and 2023/24, and express this as a percentage of the 2019/20 figure. Show your working. **(2)**

(c) Which **one** of the following is most likely to **worsen** the sustainability of a country's public sector net debt? **(1)**

- **A** A persistent rise in real interest rates relative to the rate of nominal GDP growth
- **B** Strong, sustained growth in tax revenues
- **C** A reduction in the average maturity of government bonds with no change in interest rates
- **D** A balanced budget primary surplus

(Total for Question 5 = 4 marks)

TOTAL FOR SECTION A = 20 MARKS

SECTION B

Read Figures 1 and 2 and Extract A before answering Question 6.

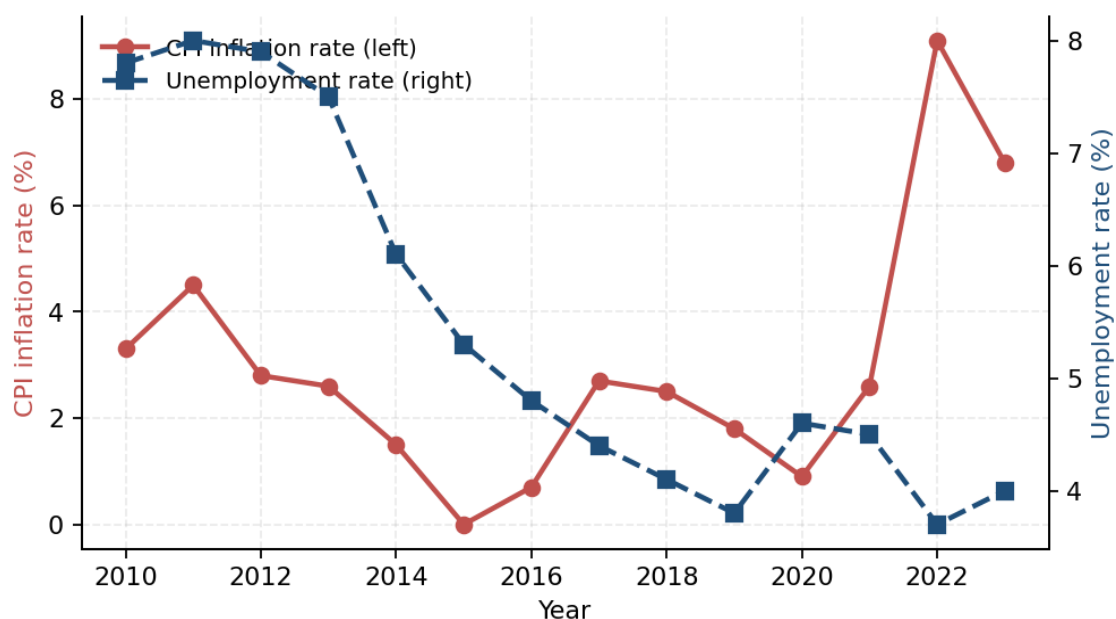
Answer ALL Questions 6(a) to 6(e) and EITHER Question 6(f) OR Question 6(g).

You are advised to spend 1 hour and 5 minutes on this section.

Question 6

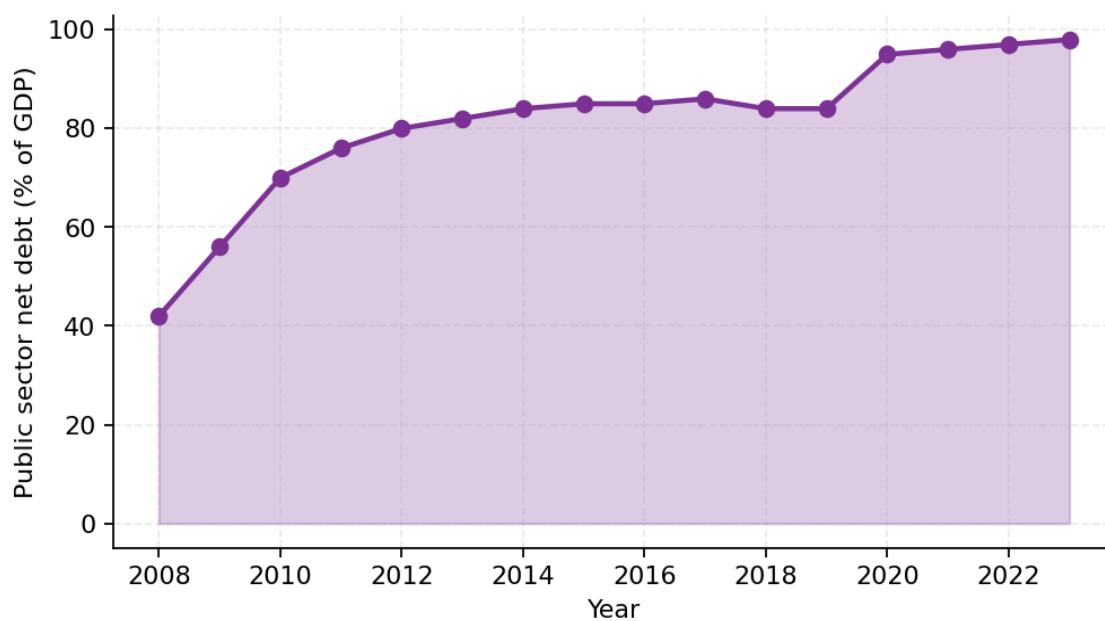
Macroeconomic objectives and policy trade-offs in the UK, 2010–2023

Figure 1: UK CPI inflation rate and unemployment rate, 2010 to 2023



(Source: adapted from Office for National Statistics)

Figure 2: UK public sector net debt (% of GDP), 2008 to 2023



(Source: adapted from Office for Budget Responsibility)

Extract A

The hardest balancing act: UK macroeconomic policy after 2010

No UK government in modern times has faced a more difficult set of macroeconomic trade-offs than those experienced between 2010 and 2023. After the 2008 financial crisis, the new coalition government inherited a budget deficit of nearly 10% of GDP and a public debt rising rapidly toward 80% of national income. Its decision to pursue a programme of fiscal austerity, alongside an unprecedented loosening of monetary policy by the Bank of England, was intended to restore both fiscal sustainability and economic growth.

The early 2010s were marked by record-low interest rates, large-scale asset purchases, and tight public spending control. Although unemployment fell steadily from over 8% in 2011 to under 4% by 2019, real wages stagnated for much of the decade. By 2017, real median household incomes had still not returned to their pre-crisis peak. Trade-union research suggested that this combination of weak wages and rising house prices contributed to a widening sense of regional inequality.

In June 2016 the UK voted to leave the European Union, introducing fresh uncertainty about future trade arrangements. The pound fell by around 15% against the dollar, increasing the cost of imports. Business investment, which had been recovering, slowed sharply. The Office for Budget Responsibility estimated that long-run productivity would be reduced by approximately 4% compared with continued EU membership.

The Covid-19 pandemic and the subsequent energy price shock following the war in Ukraine reshaped macroeconomic priorities once again. Emergency spending pushed public debt above 95% of GDP, and CPI inflation peaked above 11% in late 2022. The Bank of England responded with the fastest cycle of interest rate rises in three decades, taking the base rate from 0.1% to 5.25%. Critics argued that tightening monetary policy while many households were facing falling real incomes risked a recession, with disproportionate costs falling on mortgage holders.

The fiscal position remains a key constraint. With ageing demographics, rising health-care costs and large debt-interest payments, the government faces what the Institute for Fiscal Studies has called a “historically difficult fiscal arithmetic”. Some commentators argue that achieving the inflation target, sustainable public finances, low unemployment, balanced regional growth and a narrower current account deficit simultaneously may now be impossible. Others insist that well-designed supply-side reform can ease the conflicts between these objectives.

The wider debate is about more than economics. It involves choices about the distribution of income and wealth, about environmental sustainability, and about the role of the state. The experience of the past decade suggests that macroeconomic policy in a small open economy cannot easily achieve all of its objectives at the same time.

(Source: original passage written for this practice paper)

6 (a) With reference to Figure 1, explain the term ‘**macroeconomic objective**’. (4)

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This image shows a full page of blank, lined paper. It features approximately 20 evenly spaced horizontal grey lines across its entire width, providing a guide for writing. The paper itself is a clean, off-white color. There are no margins, text, or other markings present on the page.

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EITHER

6 (f) Evaluate whether the pursuit of low inflation should always take priority over other UK macroeconomic objectives. **(20)**

OR

6 (g) Evaluate the view that, between 2010 and 2023, UK macroeconomic policy has been more successful at managing inflation than at promoting balanced and inclusive economic growth. **(20)**

Chosen question number: **Question 6(f)** ■ **Question 6(g)** ■

Write your answer here:

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(Total for Question 6 = 60 marks)
TOTAL FOR SECTION B = 60 MARKS
TOTAL FOR PAPER = 80 MARKS